

such, Plaintiffs have stated sufficient facts to constitute a cause of action for fraud through concealment.

Although Defendants contend that Plaintiffs' claim for punitive damages are based on bare legal conclusions, as noted above, Plaintiffs have alleged sufficient facts to state a cause of action for fraud. Accordingly, no allegations of malicious motivation are required to support the claim for punitive damages. Nevertheless, Plaintiffs' allegations are sufficient to support a finding of malice and oppression under Civil Code § 3294(c)(1) and (2), because Defendants' alleged misconduct in intentionally concealing repeated bedbug infestations and exposing Plaintiffs to the bedbugs shows a willful and conscious disregard for the rights and safety of others.

7.

CASE #	CASE NAME	HEARING NAME
CVSW2310634	TEJEDA vs GSPUROHIT PROPERTIES, LLC	MOTION TO SET ASIDE DEFAULT ON CROSS-COMPLAINT

Tentative Ruling:

Cross-Defendant Main Capital Investments LLC's ("Main Capital") Motion to Set Aside Default pursuant to the mandatory provision of California Code of Civil Procedure Section 473(b) is granted. Cross Defendant Main Capital must file an Answer within 20 days of this ruling.

Court imposes a compensatory sanction against Main Capital's Counsel of \$960.00, payable within 30 days.

Relevant Chronology and Timeline of Events:

- September 9, 2025: Main Capital's prior counsel files a motion to be relieved
- November 5, 2025: The Court grants the motion to be relieved; formal order is entered on November 10, 2025, leaving Main Capital unrepresented
- January 22, 2026: First Status Hearing re: Retaining Counsel; individual defendants appear, and the Order to Show Cause (OSC) is continued
- March 19, 2026: Second Status Hearing; no appearance by Cross-Defendants, and the OSC is continued concurrent with the Trial Setting Conference (TSC)
- May 4, 2026: Third Status Hearing; Janet Tejeda appears, reports difficulty retaining counsel for the corporate entity, and the OSC is continued to June 18, 2026
- June 11, 2026: Main Capital retains the Mansour Law Group, APLC ("MLG") to represent all Cross-Defendants
- June 18, 2026: Fourth Status Hearing. Counsel Luke Sinkinson fails to appear due to a calendaring error. The Court strikes Main Capital's Answer and directs GSPurohit to seek entry of default.
- June 25, 2026: GSPurohit files a Request for Entry of Default, which is entered by the clerk.

- July 15, 2026: GSPurohit serves the Request for Entry of Default via email to MLG.
- July 22, 2026: Main Capital promptly files and serves the Motion to Set Aside Default.

The decision is grounded in the sworn declaration of attorney Luke Sinkinson, who attested that Main Capital had retained his firm on June 11, 2026, but due to his sole calendaring error, he failed to appear at the June 18, 2026 representation status hearing [Tejeda Decl.pdf]. Consequently, the Court struck Main Capital's previously filed Answer and ordered default proceedings.

CCP §473(b) provides that the court may relieve a party from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect within six months after judgment, dismissal, order, or proceedings has been taken. In the absence of an attorney affidavit of fault, the burden is on the moving party to show that the default could not have been avoided through the exercise of ordinary care. *Jackson v. Bank of America* (1983) 141 Cal.App.3d 55, 58.

C.C.P. section 473(b) also provides discretionary relief, stating: "[t]he court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect." In ruling on motions brought under the discretionary provision of section 473(b), the general policy favors granting relief and a trial on the merits. (*Elston v. City of Turlock* (1985) 38 Cal.3d 227, 233.) When relief is sought promptly and there is no prejudice to the other side, even a weak showing will suffice. (*Ibid*)

The court is empowered to relieve a party "upon such terms as may be just... from a judgment, dismissal, order or other proceeding taken against him or her through his or her mistake, inadvertence, surprise or excusable neglect." (C.C.P. §473(b).) C.C.P. §473(b) contains two different avenues for relief. Under the first part of §473(b), a party is entitled to relief from any "judgment, dismissal, order or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect."

Under California law, relief is mandatory when a timely application is accompanied by an attorney's affidavit of fault, even if the neglect is inexcusable. The Court further finds that the motion was timely made within one month of the entry of default and that the opposing party, GSPurohit Properties, LLC ("GSPurohit"), suffers no prejudice because the individual principals (Juan and Janet Tejeda) remain active litigants in the case.

To compensate GSPurohit's counsel for the time directly occasioned by this calendaring error, the Court imposes a compensatory sanction against Main Capital/Counsel of \$960.00.

Compensatory Sanction Breakdown

Pursuant to Code of Civil Procedure Section 473(b), the Court directs Main Capital's counsel to pay \$960.00 to Lieberg Oberhansley LLP within thirty (30) days [Tejeda Reply.pdf, Tejeda oppo.pdf]. This amount is broken down as follows:

1. Appearances and Preparation: 1.0 hour of attorney time at \$300.00 per hour, totaling \$300.00.
2. Opposition & Motion Work: 2.0 hours of attorney time at \$300.00 per hour, totaling \$600.00.
3. Filing Fees: Reimbursement of GSPurohit's motion filing fees in the amount of \$60.00.